



Four Transformations for Viksit Bharat

The Interim Budget was noteworthy because of its focus on sustainability. But more needs to be done.

BY **SANJEEV KRISHAN**

T

56 |

With a Budget that brings focus on climate investments and the green economy, the Finance Minister has steered us in the right direction

THE INTERIM BUDGET, presented on February 1, has brought to mind Prime Minister Narendra Modi's words from around a decade ago: "I believe growth should be constant, sustained, and inclusive." The challenge of meeting the economic and social aspirations of a population of 1.4 billion people, 65% of whom are under the age of 35, is further compounded by the growing urgency of the need to address climate change.

With a Budget that brings focus on climate investments and the green economy, the Finance Minister has steered us in the right direction, underlining India's commitment to achieving its net zero target by 2070. Shunning populist announcements in favour of fiscal prudence and providing a significant thrust to infrastructure development and building of renewable energy capacity, this pre-election Interim Budget seeks to propel economic growth while ensuring equitable participation and social progress. However, to realise its agenda, India needs to focus on four transformations.

Energy Transition

India plans to meet 50% of its electricity requirements from non-fossil fuel sources. This would entail increasing our current installed renewable capacities from around 181 GW to 500 GW. The Budget commits to viability gap funding (VGF) to set up 1 GW of offshore wind capacity. Offshore wind provides better efficiencies, although at higher costs,

and provides a massive opportunity to leverage India's 7,600 km of coastline. This is expected to attract capital and skills from Europe, which leads the world in offshore capacities and has been vocal in its commitment to collaborate with India in this space.

The Budget has also launched an ambitious solar rooftop scheme—the rooftop solarisation and *muft bijli* (free electricity) initiative—which will enable around 10 million households to receive up to approximately 300 units of free electricity per month, leading to ₹15,000–18,000 of estimated savings per month per household.

Electricity, however, represents a fraction of our energy consumption. Last year's Budget prioritised a substantial outlay of around \$2.5 billion towards developing the green hydrogen ecosystem. This was backed by additional incentive packages in several states. This year, however, the Budget focusses on enabling demand for biogas as it mandates blending of biogas with compressed natural gas (CNG) used in transportation and piped natural gas (PNG) used in households. The demand side measures are coupled with plans to subsidise machinery in the Budget.

Transport and Logistics Transformation

Transport and logistics transformation requires a two-pronged approach: fuel switch and electrifica-